Harborview Partners Corp. (PKPM) - Form 10-K

FY2025

Harborview Partners Corp.

Form 10-K for the Fiscal Year Ended 2025

Ticker: PKPM | Sector: Information Technology | HQ: California

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Harborview Partners Corp. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Harborview Partners Corp. ("Harborview," "we," "our," or "us") is headquartered in California and develops electronic design automation ("EDA") software and related intellectual property used by semiconductor and electronic systems companies to design, verify, and manufacture integrated circuits and electronic systems. Our products are used throughout the chip design process, from early architectural exploration through physical verification and manufacturing hand-off.

We license our software primarily through term-based arrangements and also offer intellectual property licensing and design services to complement our software products. For the fiscal year ended December 31, 2025, we generated revenue of $4,533.8 million.

Research and Development

The complexity of semiconductor design increases with each new process generation, and our customers depend on us to keep pace with that complexity. We invest substantially in research and development to extend our software's capabilities and to support new process nodes and design methodologies as they are introduced by our customers and their foundry partners.

Human Capital

Our workforce consists primarily of software engineers, applications engineers, and sales and support personnel, located in the United States and internationally. Competition for engineering talent with deep semiconductor and software expertise is intense, and we focus on compensation, equity-based incentives, and a technically engaging work environment to attract and retain employees.

Competition

The EDA software market is concentrated among a small number of established providers, as well as point-solution vendors that address specific steps in the design flow. We believe the principal competitive factors in our market are the breadth and depth of our software's capability, the quality of our customer support, and the strength of our relationships with semiconductor foundries and intellectual property providers.

Item 1A. Risk Factors

Risks Related to Our Business and Industry

Our business depends on the semiconductor industry, which is cyclical and can be volatile. Demand for our software is tied to our customers' investment in new chip designs, which in turn depends on broader semiconductor industry conditions. A downturn in semiconductor industry spending could reduce demand for our products and adversely affect our revenue.

Our customers' design cycles are long, and our sales cycles can be lengthy and unpredictable. Many of our license arrangements involve substantial negotiation and technical evaluation before a customer commits, and the timing of large renewals or new license agreements can cause our results to vary significantly from period to period.

Risks Related to Competition

We face competition from a small number of established EDA providers as well as point-solution vendors. Some of our competitors have longer operating histories, larger customer bases, or greater financial resources than we do. If we are unable to keep pace with the design requirements of advanced semiconductor process nodes, our competitive position could be harmed.

Risks Related to Our Financial Position

Our indebtedness could limit our operating and financial flexibility. We had interest expense of $109.8 million for fiscal 2025. Our level of indebtedness could limit our ability to obtain additional financing and make us more vulnerable to adverse changes in interest rates.

Risks Related to Cybersecurity and Information Technology

Our products and the intellectual property they help design and verify are highly sensitive, and a cybersecurity incident affecting our systems or those of our customers could harm our business. As described in Item 1C, "Cybersecurity," we have not experienced a material cybersecurity incident to date, but a future incident could compromise our own or our customers' confidential design data, disrupt our operations, and result in remediation costs, litigation, or reputational harm.

General Risk Factors

Our quarterly and annual operating results may fluctuate due to the timing of license renewals, the mix of software, intellectual property, and services revenue, and the timing of our investments in research and development, which could cause our results to vary from period to period.

Item 1C. Cybersecurity

Program

We maintain a cybersecurity risk management program designed to identify, assess, and manage risks from cybersecurity threats to our systems, our software products, and the confidential design data our customers entrust to us. Our program is informed by the NIST Cybersecurity Framework, and we periodically assess our practices against that framework.

Our program includes recurring risk assessments, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that establishes procedures for identifying, containing, and remediating cybersecurity incidents. Given the sensitivity of the intellectual property our customers share with us during the design process, we maintain contractual and technical safeguards intended to protect that data, and our vendor management process assesses the security practices of third parties that have access to our systems.

Risks

We have not experienced a material cybersecurity incident to date. However, because our customers' chip designs are highly confidential and commercially valuable, we and our customers are targets of cybersecurity threats, and a future incident could compromise sensitive design data, disrupt our operations, and result in remediation costs, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

Our full Board of Directors, with support from the Audit Committee, oversees our cybersecurity risk management program. Management provides the Board and the Audit Committee with periodic updates on our cybersecurity program, including the results of risk assessments and the threat landscape we face.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Harborview Partners Corp. develops electronic design automation software and related intellectual property for the semiconductor industry. For the fiscal year ended December 31, 2025, we generated revenue of $4,533.8 million, operating income of $1,103.6 million (an operating margin of 24.3%), and net income of $832.7 million (a net margin of 18.4%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended December 31, 2025 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Revenue	$4,533.8	100.0%
Other operating expenses, net	3,430.2	75.7%
Operating income	1,103.6	24.3%
Interest expense	109.8	2.4%
Pretax income	993.8	21.9%
Income tax expense	161.1	3.6%
Net income	832.7	18.4%

Our operating margin of 24.3% reflects the high incremental margins typical of licensed software revenue. Interest expense of $109.8 million reduced pretax income to $993.8 million. Our effective tax rate for the year was 16.2%, below the 21% U.S. federal statutory rate, reflecting the jurisdictional mix of our earnings and the benefit of research and development tax credits.

Liquidity and Capital Resources

We generated $1,331.6 million of cash from operating activities during fiscal 2025, reflecting net income of $832.7 million, non-cash depreciation and amortization of $222.5 million, and a favorable change in working capital of $276.5 million. We used $392.5 million of cash in investing activities, including capital expenditures of $137.0 million. Financing activities used $742.5 million of cash, primarily reflecting $874.6 million used for share repurchases. Taken together, our cash and cash equivalents increased by $196.6 million during the year.

As of December 31, 2025, we had stockholders' equity of $5,369.7 million and no outstanding short- or long-term debt. Cash and cash equivalents represented approximately 27.6% of our total assets at year end. We believe our existing cash, together with cash generated from operations, will be sufficient to fund our operating needs and share repurchase program for at least the next twelve months.

Critical Accounting Estimates

Goodwill and Intangible Assets. Goodwill and intangible assets, net, together represented approximately 37.2% of our total assets as of December 31, 2025. We test goodwill for impairment at least annually, which requires judgment regarding future cash flows and discount rates.

Revenue Recognition. A portion of our revenue is derived from multi-element arrangements that include software licenses, intellectual property, and services. Determining the amount and timing of revenue to recognize for these arrangements requires judgment regarding the identification of performance obligations and the allocation of the transaction price among them.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Harborview Partners Corp. for the fiscal year ended December 31, 2025. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$2,391.5
Accounts receivable, net	746.0
Inventory	292.0
Property, plant and equipment, net	433.7
Goodwill	2,600.8
Intangible assets, net	622.3
Other assets	1,579.6
Total assets	$8,666.0

Liabilities

Line item	Amount
Other liabilities	$3,296.2
Total liabilities	$3,296.2

Stockholders' Equity

Line item	Amount
Retained earnings	$5,243.5
Accumulated other comprehensive loss	(1.8)
Other equity	128.0
Total stockholders' equity	$5,369.7

Line item	Amount
Total liabilities and stockholders' equity	$8,666.0

Consolidated Statement of Income (in millions)

Line item	Amount
Revenue	$4,533.8
Other operating expenses, net	3,430.2
Operating income	1,103.6
Interest expense	109.8
Pretax income	993.8
Income tax expense	161.1

Line item	Amount
Net income	$832.7

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$832.7
Depreciation and amortization	222.5
Changes in working capital and other	276.5
Cash from operating activities	1,331.6

Investing activities:

Line item	Amount
Capital expenditures	(137.0)
Other investing activities	(255.5)
Cash used in investing activities	(392.5)

Financing activities:

Line item	Amount
Share repurchases	(874.6)
Other financing activities	132.1
Cash used in financing activities	(742.5)

Line item	Amount
Net increase in cash	$196.6

Notes to Consolidated Financial Statements

Note 1. Goodwill and Intangible Assets Goodwill and intangible assets, net, totaled $2,600.8 million and $622.3 million, respectively, as of December 31, 2025, together representing approximately 37.2% of total assets. We test goodwill for impairment at least annually; no impairment was recognized during fiscal 2025.

Note 2. Income Taxes Our effective tax rate for fiscal 2025 was 16.2%, compared with the 21% U.S. federal statutory rate. The difference primarily reflects the jurisdictional mix of our earnings and the benefit of research and development tax credits.

Note 3. Commitments and Contingencies We are subject to various claims and legal proceedings arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.